
Institutional Risk Memo

To: Risk Committee From: Abhinav Saraf and Ziyi Luo

Date: September 29, 2026 Subject: JPMorgan Chase funding exposure

Recommendation

Place JPMorgan Chase on a targeted funding-liquidity watch. Ask Treasury to validate deposit repricing and runoff assumptions, committed wholesale/FHLB capacity, and collateral available for replacement funding before the next committee review. A broad capital action is not the first response to this modeled exposure: JPMorgan has the strongest starting Tier 1 ratio of the five firms, while its 12-month repricing-gap proxy is the weakest.

Capital adequacy and liquidity evidence

At Q0, JPMorgan's Tier 1 ratio is 15.1%, the highest in the peer set, but its 12-month liquidity gap is 29.7% of assets, versus 36.3%-39.5% for the other four. Liabilities repricing within a year are 16.4% of JPMorgan's assets, compared with 8.8%-11.6% for peers. The gap is a contractual repricing proxy, not immediately available cash or a liquidity coverage ratio; it indicates relative funding sensitivity rather than a predicted failure.

Adverse and Severely Adverse impacts

Class scenario	JPMorgan Q9 Tier 1	JPMorgan Q9 12-month gap	Committee reading
Adverse	14.1% (-1.0 pt from Q0)	27.0% (-2.7 pts)	Gradual 5% deposit runoff by Q4 narrows the already-lowest peer gap.
Severely Adverse	13.8% (-1.3 pts)	21.6% (-8.1 pts)	15% runoff by Q2 makes JPMorgan the clearest funding watch item, despite remaining capital strength.

Under the Severe scenario, the 10% securities haircut equals 24.9% of JPMorgan's starting Tier 1 capital as a mark-to-market exposure; it is shown separately and not deducted again from the prescribed Tier 1 path. Wells Fargo deserves a separate capital watch: its Tier 1 path reaches 9.6% at Q4 before recovering to 10.1% at Q9, the lowest Q9 capital ratio in the group.

Decision conditions and model boundaries

Conditions for changing the recommendation

Reduce the watch if Treasury substantiates stickier deposits, usable committed replacement funding, and a revised repricing schedule that materially closes the peer gap. Escalate to a funding contingency review if runoff exceeds the modeled path, replacement funding is unavailable or materially more expensive, or the gap deteriorates beyond this scenario. Revisit capital measures only if realized securities losses or a revised capital path erode the apparent Tier 1 headroom; the current stress path alone does not establish that need.

How the path was built

The starting values come from the June 30, 2026 FFIEC FR Y-9C holding-company bulk file. Tier 1 is reported capital divided by risk-weighted assets. The 12-month gap is (repricing assets - repricing liabilities - modeled replacement wholesale funding) divided by total assets. Deposit runoff is assumed to be replaced by wholesale/FHLB funding that reprices within 12 months; securities haircuts are phased to the brief's Q4/Q2 endpoints as a team modeling assumption. These classroom paths are neither Federal Reserve CCAR projections nor a cash-flow liquidity forecast.

Assignment inconsistency and treatment

The brief's stated cumulative Tier 1 drops conflict with its explicit quarterly steps. Those steps sum to -1.0 percentage point (Adverse) and -1.3 points (Severely Adverse) at Q9, versus its approximate -1.6 and -3.1 point headlines. The console and this memo follow the quarterly steps so each quarter can be reproduced. The companion workbook independently rebuilds all five banks' three scenario paths and matches the team's 150 CSV rows at their reported precision.

Sources and traceability

FFIEC FR Y-9C holding-company bulk file for 2026-06-30 (BHCF20260630.ZIP, in the [team repository](#)); FINTECH 590 Defense 1 assignment brief; team Power BI console and Defense 1/stress_paths_Q0_Q9.csv. The [Federal Reserve's FR Y-9C description](#) identifies the report as consolidated holding-company financial statements. Every quoted scenario number traces to source fields and the companion formula workbook.

Committee decision requested: Approve the targeted JPMorgan funding review and retain Wells Fargo on the capital-path watch list.